

12. Tobin came up with his separation theorem in 1958, shortly after Markowitz published his work on MVO.

CHAPTER 9

1. See <http://www.forbes.com/sites/davidleinweber/2012/07/24/stupid-data-miner-tricks-quants-fooling-themselves-the-economic-indicator-in-your-pants/>.
2. From talks given at Cornell in 1964 as part of the Messenger Lecture series.
3. See Cooper (2014).
4. There are now 88 years of data in the CRSP database.
5. An advantage of using the false discovery rate is its robustness with respect to cross-sectional dependencies. For more on this, see Barras et al. (2010) and Benjamini, Krieger, and Yekutieli (2006).
6. Galton discovered the concepts of standard deviation, correlation coefficient, and regression to the mean.
7. CAPE has been above 20 and overvalued for almost all of the past 20 years. For more on this subject, see <http://philosophicaleconomics.wordpress.com/2014/06/08/sixpercent/>.
8. See AQR Capital Management LLC, <http://www.aqrindex.com>.
9. This paper does a good job of debunking some common myths and misconceptions about momentum.
10. See Booth and Fama (1992) for an analysis of rebalancing profits.

CHAPTER 10

1. Someone actually interviewed Madoff in federal prison, where he is serving 150 years for securities fraud, to ask his investment recommendations: <http://www.valuewalk.com/2013/06/madoff-recommends-index-funds/>.